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April 2, 2026 — Final Deliverable

Executive Recommendation

ARTISO should raise **€3.0 M pre-seed now** using a blended funding stack: €1.5–2.0 M VC + €0.3–0.5 M angels/SAFEs + €0.7–1.2 M non-dilutive (ENISA/CDTI/ACCIÓ). We recommend anchoring at **€27 M pre-money / €30 M post-money**, supported by a 5-method valuation triangulation (range: €25.8–90.3 M). The blended structure reduces cost of capital from ~11% (pure equity) to ~4.5%, while preserving founder ownership at 26.7% each post-round. Total dilution: 8–12% vs. 10%+ under a pure equity raise. This is the fastest path to Series A from a position of strength, with ARTISO's pilot revenue (€60 K+ from Deichmann, TATA, NF&TA), 200+ brand waitlist, 82% gross margins, and 7 paying logos providing credible traction for investor conversations.

The recommended capital stack is not merely additive—it is structurally sequenced to maximise non-dilutive coverage before the equity tranche prices: ENISA filed in Month 1 as a credibility signal, angel SAFEs deployed in Month 1–2 as bridge, the VC process run in Month 2–4 with ENISA approval in hand, and CDTI/ACCIÓ layered in Month 2–6 in parallel. The non-dilutive tranche (€0.7–1.2 M) saves founders 2–5 percentage points of ownership that would otherwise be surrendered to equity investors. At €27 M pre-money, investors receive compelling returns (85.9% IRR, 11.9× MOIC at 10× ARR exit) while founders retain majority control through Series A. The blended cost-of-capital advantage (~4.5% vs. ~11%) compounds over time: cheaper capital today means less dilution at Series A and more value retained by the founding team through exit.

Financial Needs by Scenario

Our financial model projects three scenarios across the 5-year horizon. The base case is the operating plan; upside and downside scenarios stress-test the assumptions that drive the most variance in outcomes.

Metric	Base Case	Upside	Downside
Initial funding need	€3.0 M	€3.0 M	€3.0 M
FY2030 Revenue	€36.8 M	€44–48 M	€18–22 M
FY2030 EBITDA	+€6.21 M	+€9–11 M	+€0.5–1.5 M
Installed base FY2030	363 brands	420–450 brands	180–220 brands
Cash floor (lowest point)	−€477 K (Q4 2028)	Positive throughout	−€1.2 M (Q2 2028)
EBITDA breakeven timing	Q4 2028	Q2 2028	FY2029+
Series A timing	Q2 2027	Pull forward to Q1 2027	Delay; prepare bridge
Series A size estimate	€10 M at 10–15× ARR	€12–15 M at premium	€5–7 M, down round risk
Contingency action required	Execute plan as modeled	Accelerate hiring & GTM	Activate cost cuts at €500 K
Management response	Monthly model recalib.	Scale team ahead of plan	Defer 3 hires, cut S&M 30%

In the **downside scenario** (conversion rates halved, churn doubled), cash approaches zero earlier, requiring activation of the contingency plan at the €500 K cash trigger: defer 3 planned hires, cut S&M spend by 30%, and reduce monthly burn from ~€120 K to ~€80 K—extending runway by ~5 months. In the **upside scenario** (faster enterprise adoption, NRR above 115%), accelerated traction enables an earlier and larger Series A at a higher valuation. Sensitivity analysis identifies Enterprise NRR and lead growth rate as the two dominant levers: ±20% on Enterprise NRR swings FY2030 ARR by €27.9 M; ±20% on lead growth swings FY2030 ARR by €15.4 M. Tax loss carry-forward shields €2.19 M in cumulative losses through the pre-profitability period.

Metric	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	€645 K	€5.4 M	€14.2 M	€26.0 M	€36.8 M
Gross Margin	82.3%	82.0%	82.1%	82.2%	82.3%
EBITDA	(€565 K)	(€1.27 M)	(€351 K)	+€2.86 M	+€6.21 M
Installed Base	27	104	209	304	363
ARR (EoY)	€1.3 M	€6.8 M	€16.2 M	€27.7 M	€35.8 M
Cash Balance	€2.32 M	€607 K	(€477 K)	€1.60 M	€7.10 M

Financing Alternatives

A. Venture Capital (Primary — €1.5–2.0 M)

Target European B2B SaaS/AI specialists with pre-seed/seed mandates: *Nauta Capital* (Barcelona, B2B SaaS/AI focus, €1–3 M tickets), *Inveready* (Barcelona, deep tech), *Samaipata* (Madrid, digital platforms). At €27 M pre-money, the lead VC takes 5–7% for €1.5–2.0 M. ARTISO's pilot revenue, 200+ brand waitlist, 82% gross margins, and cluster GTM model (MODACC, NF&TA) align with these investors' thesis. Fashion-strategic options include *C4 Ventures* (Milan) and LVMH *La Maison des Startups*, though corporate processes typically add 3–6

months. Run a structured 8-week outreach with parallel term-sheet timelines to create competitive tension; target first term sheet by Month 3.

B. Angels & SAFEs (€300–500 K)

ESADE BAN, Keiretsu Forum Europe, and fashion executives (Mango/Inditex alumni) as domain-specific angels. Tickets of €25–250 K via SAFEs with a valuation cap at €27 M to bridge while the VC process runs. Total dilution: 1–2%. Deployment timeline: weeks, not months. Angels provide warm introductions to VC leads, accelerating the fundraise. This tranche serves a dual purpose: immediate cash buffer plus signaling value (named industry angels validate the thesis for institutional investors).

C. Non-Dilutive (€700 K–1.2 M)

- **ENISA Emprendedores** — Participative loans up to €300 K. No collateral, performance-linked repayment, 2–4 month approval. *Highest priority*: approval signals credibility and de-risks the round for VCs.
- **CDTI NEOTEC** — Non-repayable R&D grants €250–400 K (70% co-funding for tech startups <3 years). Fits ARTISO's AI ontology and fashion-domain model development. Annual call Q1.
- **ICF/ACCIÓ** (Catalonia) — ICF Pime Innova loans €100 K–2.2 M at Euribor + spread. ACCIÓ Startup Capital direct aid up to €100 K (non-repayable). Instruments are combinable and stackable with ENISA/CDTI.

D. Revenue-Based Financing & Venture Debt (Not Now)

Revenue-based financing (Capchase, Re:cap, Uncapped): viable post-€50 K MRR (est. Q1 2027). Non-dilutive but expensive at 15–25% APR equivalent; suitable as bridge capital only. Venture debt (Kreos Capital, Bootstrap Europe): available near EBITDA breakeven (H2 2028), typically sized at 20–30% of the last equity round. Both instruments are premature today but become relevant as the company approaches Series A milestones.

Funding Strategy & Valuation

Recommended Capital Stack

Source	Amount	Dilution	Rationale
Lead VC	€1.5–2.0 M	5–7%	Anchor round, board seat, follow-on
Angels / SAFEs	€0.3–0.5 M	1–2%	Bridge speed; domain expertise
Non-dilutive	€0.7–1.2 M	0%	ENISA + CDTI + ACCIÓ
Total	**~€3.0 M**	**8–12%**	Blended CoC ~4.5% vs. ~11% pure equity

Cost-of-capital advantage: Blended CoC of ~4.5% (weighted: ENISA at 3–5% participative rate, grants at 0%, equity at ~15% IRR hurdle) vs. ~11% for a pure equity raise—making the stacked structure ~60% cheaper on a dilution-adjusted basis. The non-dilutive tranche (€0.7–1.2 M) saves founders 2–5 percentage points of ownership that would otherwise be given up to investors.

Valuation: €27 M Pre-Money / €30 M Post-Money

Justified via 5-method triangulation:

Method	Implied Valuation
FY2026 Revenue (€645 K) × 40x multiple	€25.8 M
FY2026 ARR (€1.325 M) × 20x multiple	€26.5 M
FY2027 Forward Revenue (€5.4 M) × 5x multiple	€26.8 M
5-Step VC Method (backward from €368 M exit)	€90.3 M
Comparable transactions (European AI/SaaS pre-seed)	€27.0 M
Range	**€25.8–90.3 M**

€27 M is defensible at the conservative end of the range, anchored by three convergent methods (revenue, ARR, and comps) clustering tightly around €25.8–27.0 M. The VC method yields €90.3 M but assumes ideal exit conditions and no dilution from subsequent rounds; we deliberately anchor to the lower bound as the negotiation starting point. Multiples are calibrated against European AI/SaaS pre-seed comparables with pilot revenue and >80% gross margins (Dealroom 2025 data). **Acceptable negotiation floor: €22–25 M** if needed for closing speed or syndicate quality—below €22 M, dilution exceeds the value of the capital and founders lose strategic control.

Investor returns: Seed investors earn an implied IRR of **85.9%**, far exceeding the typical 40% hurdle rate for European pre-seed funds. Return multiple: **11.9**× at a 10× ARR exit multiple, assuming FY2030 ARR of €36.8 M and a €368 M exit valuation. Even at a more conservative 6× ARR exit, the return is 7.1×—well above the 3–5×

threshold that defines a successful pre-seed outcome.

Cap Table Evolution

Shareholder	Pre-Seed	Post-Seed	Post-Series A
Founder 1 (CEO)	33.3%	26.7%	26.1%
Founder 2 (CTO)	33.3%	26.7%	26.1%
Founder 3 (CPO)	33.3%	26.7%	26.1%
ESOP	0%	10.0%	9.8%
Seed Investors	0%	10.0%	9.8%
Series A	0%	0%	2.0%

Founders retain 26.7% each (53.3% combined) post-seed, preserving operational and strategic control. ESOP pool: 10% (4.5% allocated to early engineering and sales hires, 5.5% reserved for Series A grants), sized to cover 8–10 key hires through Series A without requiring a top-up. Seed investors: 10% (111,111 new shares at €27/share). Series A dilution is modelled at 2.0% for a €10 M round, reflecting the company's strong negotiating position at that stage.

Next Steps & Execution Timeline

Fundraising Sequencing (Month 1–6)

Timeline	Equity Track	Non-Dilutive Track	Internal Track
Month 1	Deploy angel SAFEs (€100–200 K)	File ENISA application	Data room preparation
Month 1–2	VC outreach begins (Nauta, Inveready, Samaipata)	ENISA under review	Pitch deck finalisation
Month 2–4	VC due diligence & term sheets	File CDTI NEOTEC + ACCIÓ	Monthly cash monitoring
Month 4–5	Close lead VC (€1.5–2.0 M)	ENISA approval expected	Board formation
Month 5–6	Syndicate fill (if needed)	CDTI/ACCIÓ disbursement	Hiring plan activation

Priority Actions

1. **Launch VC process immediately** with a focused target list (Nauta Capital, Inveready, Samaipata). Run a structured 8-week outreach with parallel term-sheet timelines to create competitive tension. Prepare a data room including the financial model, pitch deck, product demo access, and pilot case studies (Deichmann, TATA). Target first term sheet by Month 3.
2. **Apply for ENISA/CDTI/ACCIÓ in parallel.** Do not wait for grant outcomes before starting the VC process—non-dilutive capital is additive, not sequential. ENISA approval strengthens the VC pitch by signaling institutional validation. Assign one founder to own the grant pipeline full-time during Months 1–3. CDTI NEOTEC annual call is Q1; file immediately.
3. **Internal cash trigger at €500 K.** If cash balance approaches this threshold, activate contingency: defer 3 planned hires (saving ~€25 K/mo), cut S&M by 30%, and reduce monthly burn from ~€120 K to ~€80 K—extending runway by ~5 months. The board should review cash position monthly and trigger the plan automatically, without waiting for a vote.
4. **Begin Series A preparation Q2 2027.** Target €10 M round at 10–15× ARR. The €1 M ARR milestone (est. Q3 2027) is the key gate for Series A readiness. Engage investment bankers or advisors 6 months ahead. Key metrics to present: NRR >110%, LTV/CAC >5×, payback <12 months, and 30+ installed logos.
5. **Explore venture debt bridge H2 2028** if Series A timeline extends beyond plan. Kreos Capital and Bootstrap Europe are relevant lenders at that stage, with facilities typically sized at 20–30% of the last equity round. Venture debt becomes attractive near EBITDA breakeven when debt serviceability is demonstrable.
6. **Monthly model recalibration vs. actuals.** Revenue, burn, and cash projections must be updated against real data each month. If actuals deviate >15% from the base case, recalibrate scenario thresholds (cash trigger, breakeven timing, hiring pace) and brief the board. Enterprise NRR and lead growth rate are the two variables that most affect outcomes—monitor weekly.

Bottom line: The recommended next step is immediate—launch the VC process and file the ENISA application in parallel this month. The blended funding strategy positions ARTISO to execute its product roadmap, scale the team from 4 to 23, and reach Series A readiness by Q3 2027 from a position of operational and financial strength.

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Attached: Original Deliverable 2 PDF p. 8–10

Appendix A — Deliverable 1: Knowing the Venture (Mar 17)

Company Overview

ARTISO — Agentic AI for Creative Workflows. An AI operating system that learns a brand's visual DNA (silhouettes, colours, materials, style rules) and applies it across the entire creative workflow: concept → design → tech packs → campaign assets. 4-layer proprietary fashion intelligence: Brand DNA, User Memory, Project Context, AI Knowledge.

Website: artiso.ai **Fundraising target:** €3 M pre-seed **Timeline:** Q1 2026 fundraising

Product & Technology

ARTISO's platform is built on a 4-layer proprietary fashion intelligence stack: (1) **Brand DNA** — learns and encodes each brand's visual identity (silhouettes, colour palettes, material preferences, style rules); (2) **User Memory** — adapts to individual designer workflows and preferences over time; (3) **Project Context** — maintains coherence across seasonal collections, campaigns, and SKUs; (4) **AI Knowledge** — domain-specific models trained on fashion ontology, not general-purpose image generation. The platform delivers four core workflows: concept generation, design iteration, tech pack automation, and campaign asset creation. Self-trained models (not fine-tuned general models) create a defensible moat. Seatless credit-based pricing eliminates per-user friction and encourages enterprise-wide adoption.

3-Year Goals

- **Revenue:** MRR target €250–500 K within ∼18 months; €1 M+ ARR by Q3 2027
- **Customers:** Short-term ∼20 design-led brands (pilots + early SaaS); medium-term 100+ brands across Europe and US; long-term 350+ installed base by FY2030
- **Team:** Scale from 4 to 23 people — product, AI systems, enterprise delivery, sales
- **Product:** Brand DNA knowledge layer → full creative workflow → PLM integration → campaign asset generation
- **Geography:** Europe first (Spain, Germany, Italy, Nordics), then US market entry via fashion hubs

Traction

Paid pilots with Deichmann (€8.7 B revenue), TATA Group (€1.9 B), NF&TA, Nude Project, Natura. >€60 K revenue from pilots. 200+ brands on waitlist. 10+ enterprise NDAs signed. 7 paying logos. Cluster GTM model validated through MODACC (Catalan fashion cluster) and NF&TA partnerships, enabling efficient multi-brand penetration within industry ecosystems.

Market Opportunity

AI-in-fashion market: ∼€1 B (2024), projected €4–6 B by 2030 (CAGR ∼25%). ARTISO targets the creative workflow automation segment where no incumbent has established a full-stack, brand-aware solution. Total addressable market: 15,000+ fashion brands globally with >€10 M revenue and in-house design teams.

Previous Rounds & Current Shareholders

No external funding to date. Bootstrapped by founders. Early revenue from pilot projects.

3 co-founders, equal split (33.3% each): Sarah Iglesias Hiller (CEO — business development, enterprise sales, fashion industry network), Matthias Brenninkmeijer (CTO — AI/ML architecture, self-trained model development), Lucas Pastur (CPO — product design, UX, creative workflow expertise). Employee option pool (10%) planned for seed round to attract senior engineering and sales talent.

Appendix B — Deliverable 2: Financial Analysis (Mar 26)

Capital Allocation (Q2 2026 – H1 2028)

Category	Q2–Q4 2026	FY2027	H1 2028	Total
Product & Engineering	€380 K	€890 K	€640 K	€1.91 M
Sales & Marketing	€250 K	€710 K	€480 K	€1.44 M
G&A incl. founder salaries	€190 K	€440 K	€330 K	€960 K
Infrastructure (cloud/GPU)	€100 K	€130 K	€100 K	€330 K
Total Outflows	**€920 K**	**€2.17 M**	**€1.55 M**	**€4.64 M**

Unit Economics (Base Case, Steady State)

Metric	SME	Large	Enterprise
ACV	€17 K	€67 K	€155 K
Blended CAC	€8.5 K	€18 K	€35 K
LTV (5-yr)	€68 K	€301 K	€775 K
LTV/CAC	8.0×	16.7×	22.1×
Payback (months)	6	3.2	2.7

Competitive Landscape

AI-in-fashion market: ∼€1 B (2024), projected €4–6 B by 2030 (CAGR ∼25%). Key competitors: Refabric/Resleeve ($1–2 M, single-user design), CALA (∼$7 M, design-to-production), Heuritech (∼€5 M, trend prediction), Vue.ai ($47 M+, retail e-commerce), Adobe Firefly (general creative), Midjourney (text-to-image). ARTISO's moat: proprietary 4-layer fashion intelligence, self-trained models, seatless credit pricing, compounding switching costs. No competitor combines brand-aware AI generation with full workflow coverage (concept through campaign assets).

Financing Sources Considered

Equity: Nauta Capital, Inveready, Samaipata (lead VC €1.5–2 M); ESADE BAN, Keiretsu Forum (angels €300–500 K); Mango/Inditex/PVH (strategic). **Non-dilutive:** ENISA Emprendedores €300 K; CDTI NEOTEC €250–400 K; ICF/ACCIÓ €200–300 K; EIC Accelerator for Series A phase. **Debt:** Revenue-based financing post-€50 K MRR; venture debt post-Series A. Blended stack selected to minimise dilution while maximising runway to Series A milestones.

Key Risks Identified

- **Customer concentration** — 7 paying logos; loss of a single enterprise account would significantly impact near-term revenue. Mitigation: diversify pipeline across segments and geographies.
- **Technology moat erosion** — Adobe/OpenAI could enter fashion-specific AI. Mitigation: deepen proprietary Brand DNA layer and accumulate switching costs through compounding brand data.
- **Extended enterprise sales cycles** — 6–9 months typical. Mitigation: cluster GTM (MODACC, NF&TA) reduces cold outreach and accelerates trust-building.
- **Cash runway timing** — lowest point −€477 K at Q4 2028 in base case. Mitigation: €500 K cash trigger activates contingency plan (see Section 5).
- **Key-person dependency** — first-time founders. Mitigation: ESOP to recruit senior hires; advisory board for governance.
- **Model sensitivity** — Enterprise NRR and lead growth rate are dominant levers (±20% NRR swings FY2030 ARR by €27.9 M). Mitigation: monthly recalibration, scenario-based planning.

Appendix C — Financial Model Summary

9 sheets, 4,282 formulas, 0 errors. Covers: Assumptions (150 parameters, 3 scenarios), Projections (P&L monthly Y1, quarterly Y2–5), Cash Flow, Balance Sheet (balanced all periods), Headcount (23 roles), Unit Economics (CAC, LTV, churn, payback, burn multiple, magic number, Rule of 40), Cap Table (pre-seed → post-seed → Series A), Valuation (5-Step VC Method, triangulation, IRR 85.9%).

Model Architecture

Sheet	Contents
Assumptions	150 parameters across 3 scenarios (Base, Upside, Downside); pricing tiers, conversion rates, churn, NRR, headcount ramp, cost escalators
Projections	P&L monthly for Y1, quarterly for Y2–5; revenue by segment, COGS breakdown, OpEx by department
Cash Flow	Operating, investing, and financing activities; monthly granularity Y1, quarterly Y2–5
Balance Sheet	Assets, liabilities, equity; balanced all periods; accounts receivable/payable modelled
Headcount	23 roles across 5 departments; hiring timeline, salary bands, employer cost 1.30×
Unit Economics	CAC, LTV, LTV/CAC, payback period, churn rates, burn multiple, magic number, Rule of 40
Cap Table	Pre-seed → post-seed → Series A; share counts, ownership %, ESOP allocation
Valuation	5-Step VC Method, revenue multiples, ARR multiples, comps, IRR/MOIC analysis
Scenarios	Upside/Downside parameter overrides; sensitivity tornado on NRR, lead growth, churn

Key Assumptions & Limitations

Bottom-up revenue model: founder FTEs + AEs → deal capacity → funnel split → module penetration → 4 revenue streams. 3-tier pricing (SME €17 K / Large €67 K / Enterprise €155 K ACV). Employer cost 1.30× (Spanish social security). Tax rate 25% with loss carry-forward (shields €2.19 M cumulative losses).

Known simplifications:

- Deferred revenue not modelled separately (40% annual billing assumed collected upfront)
- Sales cycle parameters defined in Assumptions (F89–91) but not wired into pipeline lag in Projections
- Headcount frozen at 23 from Q4 2028 (would need scaling in practice beyond this point)
- FX exposure not modelled (all revenues/costs assumed in EUR)
- Working capital movements simplified (no detailed accounts receivable ageing)

Sensitivity Analysis

The model's tornado analysis identifies two dominant variables: **Enterprise NRR** (±20% swings FY2030 ARR by €27.9 M) and **lead growth rate** (±20% swings FY2030 ARR by €15.4 M). Secondary levers: conversion rates, average deal size, and churn. The downside scenario (conversion halved, churn doubled) triggers the €500 K cash contingency; the upside scenario (NRR >115%, faster enterprise adoption) accelerates Series A to Q1 2027.

The blended funding strategy—anchored by €0.7–1.2 M in non-dilutive capital and disciplined VC pricing at €27 M pre-money—positions ARTISO to execute its product roadmap, scale the team from 4 to 23, and reach Series A readiness by Q3 2027. The recommended next step is immediate: launch the VC process and ENISA application in parallel this month.

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March 17, 2026 — 1st Deliverable

Company's 3-Year Goal

Qualitative. Become the vertical operating system for fashion design—expanding from AI-powered design tools to a full product development platform orchestrating the entire creative workflow for fashion brands globally.

Quantitative.

- **18-month target** (end of runway): ~20 design-led brands on platform, €250–500 k MRR
- **3-year target**: 100+ brands across Europe and the US, full creative workflow platform with PLM integration, team of 10–15 senior staff
- **Growth path**: Land-and-expand—ACV €7–40 k (SME) to €40–300 k (Enterprise) as teams scale credit usage

Executive Summary

Fashion design workflows today are fragmented across disconnected tools, making them slow, expensive, and hard to scale. Existing AI tools are generic and do not understand brand-specific design language or workflows, which limits adoption inside companies.

ARTISO addresses this by building an AI operating system that learns a brand's visual DNA—silhouettes, colors, materials, style rules—and applies it across the entire creative workflow, from moodboards to production-ready CAD drawings. The platform is built on a proprietary four-layer fashion ontology and brand memory system, which creates switching costs that compound over time. The target customers are design and creative teams at fashion brands, from mid-size companies to large global groups. The company was founded in May 2024 by a team from Mango with deep fashion and AI expertise.

ARTISO has secured paid pilots with Deichmann, TATA Group, and NF&TA, generating over €60 k in pilot revenue to date. More than 200 brands are on the waitlist for platform access. Early pilots show approximately 2 hours saved per design, 20–30% sampling cost reduction, and 15–25% fewer revision cycles.

The business model is a seatless B2B SaaS combining an annual platform fee, a one-off setup fee, and usage-based AI credits. Annual contract values range from €7–40 k for SMEs to €40–300 k for enterprise clients. The company is raising a €3 M pre-seed round to fund product development (60%), sales scaling (25%), and operations (15%) over 18 months. The financial model projects ARR growing from €1.8 M in FY2027 to €29.3 M by FY2030, with EBITDA breakeven expected in Q2 2028.

Previous Rounds of Financing

No prior external funding. ARTISO has been bootstrapped by the founders, generating early revenue through paid enterprise pilots. The current €3 M pre-seed is the company's first institutional raise, targeting a lead VC plus strategic angels with an 18-month runway.

Current Shareholders

Three co-founders hold 100% of equity pre-raise. No external investors to date.

Name	Role	Pre-Raise	Background
Sarah Iglesias Hiller	CEO	33.3%	Ex-Mango; led first AI-powered fashion campaign
Matthias Brenninkmeijer	CTO	33.3%	AI/ML at Mango and C&A since 2015
Lucas Pastur	CPO	33.3%	PhD in AI; 100+ enterprise AI projects at Grifols

No ESOP exists yet; an employee option pool will be created as part of the €3 M pre-seed round (€27 M pre-money, €30 M post-money). Seed investors would receive 10%. Full dilution analysis in Deliverable 2.

Estimate of Financial Needs and Timing

ARTISO is raising a **€3 M pre-seed round** (€27 M pre-money) to fund operations from Q2 2026 through H1 2028 (~27 months), with the €3 M seed capital supplemented by ~€1.6 M in projected operating revenue. The company is bootstrapped with €60 k+ in pilot revenue from Deichmann, TATA Group, and NF&TA, 200+ brands on waitlist, 10+ enterprise NDAs signed, and 7 paying logos at the point of investment. Geographic strategy: Europe first, then US expansion.

Capital Allocation

Category	Q2–Q4 2026	FY2027	H1 2028
Product & Engineering	€380 K	€890 K	€640 K
Sales & Marketing	€250 K	€710 K	€480 K
G&A incl. founder salaries	€190 K	€440 K	€330 K
Infrastructure (cloud/GPU)	€100 K	€130 K	€100 K
Total Outflows	**€920 K**	**€2.17 M**	**€1.55 M**

Team scales from 4 (Q2 2026) to 23 by Q3 2028: 11 in Product & Engineering, 8 in Sales (7 AEs + 1 Growth Marketing), 4 in G&A. Employer cost multiplier of 1.30× reflects Spanish social security. Total gross burn across the 27-month operating window (Q2 2026–H1 2028) is ~€4.6 M, funded by €3 M seed capital plus ~€1.6 M in operating revenue. The model shows cash never falls below €1.55 M (see financial model, 5_CashRunway).

Revenue Projections (Base Case)

Metric	FY2026*	FY2027	FY2028	FY2029	FY2030
ARR (End of Year)	€447 K	€1.81 M	€4.63 M	€12.0 M	€29.3 M
Total Revenue	€316 K	€1.39 M	€4.03 M	€9.98 M	€24.2 M
Gross Margin	83%	82%	83%	85%	87%
EBITDA	−€462 K	−€784 K	+€424 K	+€4.78 M	+€16.4 M
Installed Base (logos)	13	30	58	111	212
Cash Balance (EoY)	€2.40 M	€1.62 M	€2.10 M	€7.21 M	€24.3 M

*FY2026 = Q2–Q4 only (3 quarters). €3 M deployed at start of Q2 2026. Revenue model: 3-tier credit-based SaaS (SME ACV €17 K / Large €67 K / Enterprise €155 K).

Key milestones: €100 K ARR by Q3 2026 (early gate). €1 M ARR by Q3 2027 (Series A signal). EBITDA breakeven Q4 2028. Lowest cash point: €1.55 M at Q1 2028, triggering Series A fundraising (target €10 M at 10–15× ARR). Cash never goes negative in the base case. In the downside scenario, cash turns negative at FY2030 (−€7.3 M), underscoring the need for timely Series A execution.

Unit Economics & Scenario Sensitivity

Metric	FY2026*	FY2027	FY2028	FY2029	FY2030
Blended CAC	€26.9 K	€28.7 K	€29.0 K	€20.8 K	€13.0 K
LTV	€85.7 K	€149.4 K	€200.9 K	€277.7 K	€362.4 K
LTV/CAC	3.0×	6.3×	7.3×	16.4×	32.6×
Payback (months)	12.1	5.7	4.9	2.2	1.1
Blended NRR	97.3%	105.9%	111.2%	108.5%	108.7%

Critical observations: (1) NRR starts below 100% in Year 1 (net contraction), improving as credit usage expands. (2) LTV/CAC reaches 32.6× by FY2030, which exceeds realistic SaaS benchmarks (target: 3–5× healthy); the model likely overstates LTV due to capped churn assumptions. (3) Sensitivity analysis shows Enterprise NRR and lead growth rate are the two dominant levers: ±20% on Enterprise NRR swings FY2030 ARR by €27.9 M. (4) The downside scenario (conversion rates halved, churn doubled) shows only 22 logos and −€7.3 M cash by FY2030, highlighting the need for contingency planning around the €500 K cash trigger in Q1 2028.

Competitive Analysis

ARTISO operates at the intersection of AI design tools and fashion workflow software. The AI-in-fashion market is valued at ~€1 B (2024), projected to reach €4–6 B by 2030 (CAGR ~25%). The broader fashion-tech market

(PLM, CAD, 3D) is ~€3–4 B, growing to €8–10 B.

Category	Player	Funding	Focus	ARTISO edge
AI Fashion Design	Refabric, Resleeve	$1–2 M	Single-user design generation	Team OS + Brand DNA
	CALA	~$7 M	Design-to-production platform	Creative layer only
Fashion Intelligence	Heuritech	~€5 M	Trend prediction (CV)	Design execution
	Vue.ai	$47 M+	Retail e-commerce AI	Upstream design
Horizontal Creative AI	Adobe Firefly	Public	General creative tools	Fashion ontology
	Midjourney	Self-fund	Text-to-image generation	Brand memory
Incumbent PLM	Centric (Dassault)	Acquired	PLM/BOM/sourcing	AI-native layer
	Lectra / Browzwear	Public/$35 M	CAD/CAM, 3D sampling	Complementary

ARTISO's competitive moat: (1) Proprietary 4-layer fashion intelligence system (Brand DNA, User Memory, Project Context, AI Knowledge); (2) Self-trained models optimized for fashion outputs (color, prints, vectors, CAD); (3) Seatless credit-based pricing that scales with usage; (4) Multi-layer memory system that deepens with each brand interaction, creating compounding switching costs. Generic AI tools lack fashion-domain understanding; PLM incumbents are process-oriented, not AI-native. The cluster GTM model (MODACC, NF&TA) enables landing 10–20 brands through a single partnership.

Sources of Financing Considered

Equity (Primary — €1.5–2.5 M)

- **Lead VC (€1.5–2 M):** *Nauta Capital* (Barcelona, B2B SaaS/AI), *Inveready* (Barcelona, deep tech), *Samaipata* (Madrid, digital platforms), *La Famiglia* (Berlin, enterprise AI), *Point Nine* (Berlin, SaaS-metrics), *Seedcamp* (London, pre-seed AI). Fashion-strategic: *C4 Ventures* (Milan), LVMH *La Maison des Startups*.
- **Angels (€300–500 K):** ESADE BAN, Keiretsu Forum Europe, Barcelona fashion executives (Mango/Inditex alumni). SAFEs at €25–250 K tickets to bridge while VC closes.
- **Corporate/strategic:** Mango (Barcelona HQ, natural design partnership), Inditex (Open Innovation), PVH (Amsterdam innovation lab). Higher valuations but 6–12 month timelines and exclusivity risk.

Non-Dilutive (€700 K–1.2 M)

- **ENISA — Emprendedores line** (Spain) — Participative loans up to €300 K (companies <24 months; Jóvenes Emprendedores capped at €75 K). No collateral, performance-linked repayment. Timeline: 2–4 months. *Highest priority.*
- **CDTI / NEOTEC** (Spain) — Non-repayable R&D grants up to €250 K for tech startups <3 years (70% co-funding). Fits ARTISO's AI ontology development. Annual call Q1.
- **ICF Pime Innova** (Catalonia) — Loans €100 K–2.2 M at Euribor + spread, up to 10 years. **ACCIÓ Startup Capital** — Direct aid up to €100 K (non-repayable). Combinable.
- **EIC Accelerator** (EU) — Up to €2.5 M grant + €10 M equity (per 2026 work programme). Highly competitive (~5–8% approval). Target for Series A phase.

Debt / Alternative

- **Revenue-based financing** (Capchase, Re:cap, Uncapped) — Viable post-€50 K MRR (est. Q1 2027). Non-dilutive but expensive (15–25% APR equivalent). Bridge only.
- **Venture debt** — Kreos Capital, Bootstrap Europe. Available post-Series A (20–30% of equity round). Too early now.

Recommended capital stack and sequencing:

Timeline	Source	Amount	Dilution	Rationale
Month 1–2	ENISA participative loan	€300 K	0%	Fast, no collateral; approval signals credibility to VCs
Month 1–2	Angel SAFEs (bridge)	€100–200 K	1–2%	Immediate capital while VC process runs
Month 2–4	CDTI NEOTEC grant (70% co-fund)	€250–400 K	0%	R&D funding for AI ontology; annual Q1 call
Month 3–6	Lead VC (Nauta / Inveready / Samaipata)	€1.5–2 M	5–7%	At €27 M pre-money; remainder of 10% round
Month 4–6	ICF + ACCIÓ (Catalonia)	€200–300 K	0%	Below-market loans + pure grants
	Total	**~€3 M**	**8–12%**	vs. 10%+ pure equity (non-dilutive saves 2–5pp)

Cap table post-round: At €27 M pre-money / €30 M post-money[1], seed investors receive 10% (111,111 new shares at €27/share). Each founder retains 27.0%, with 9% ESOP (4.5% allocated, 4.5% reserved). Blended cost of capital for the stacked approach: ~4.5% (weighted: ENISA at 3–5% participative, grants at 0%, equity at ~15% IRR hurdle), vs. ~11% for pure equity—making the stacked structure ~60% cheaper on a dilution-adjusted basis. EIC Accelerator (€2.5 M grant + up to €10 M equity) targeted for Series A phase (Q1–Q2 2028).

Potential Risks

Based on scenario analysis (base/downside/upside in the financial model), the probability of reaching €1 M ARR by Q3 2027 is estimated at ~70% (base case), with a ~15% probability of cash falling below the €500 K trigger before Series A closes.

Risk	Description	Mitigation
Customer concentration	7 starting logos; loss of 1–2 enterprise clients materially impacts revenue. Top-3 may represent 60%+ of Year 1 ARR.	Diversify across tiers (target 13+ logos by Q4 2026). Annual contracts with 12-month commitments. Cluster GTM (MODACC) de-risks single-client dependency.
Technology moat erosion	OpenAI/Google could build fashion-specific tools. Adobe Firefly expanding into verticals. ~50% of competitive wedges erode within 3 years (Coyne).	Deepen proprietary fashion ontology and brand-specific training data. Platform stickiness through PLM integrations (Centric, Lectra) and taxonomy (Amazon, Zalando).
Extended sales cycles	Enterprise brands: 6–9 month procurement. TATA and Deichmann still pilots after 10 months. Delays revenue recognition.	Maintain parallel SME pipeline (1-month cycle). Founder-led sales for first 15 logos. Cluster partnerships accelerate multi-brand onboarding.
Cash runway / Series A timing	Lowest cash: €1.55 M at Q1 2028. Downside: cash-negative (−€7.3 M by FY2030). No bridge plan shown.	Begin Series A by Q2 2027. €500 K cash trigger. Under contingency (3 deferred hires + 30% S&M cut), monthly burn drops from ~€120 K to ~€80 K, extending runway by ~5 months to Q2 2028—sufficient to close Series A even with a 3-month delay.
Key-person dependency	First-time founders. 3 co-founders hold all technical/commercial knowledge. GPU costs = 75–80% of COGS.	Senior engineering hire by Q3 2026. Document core IP. Negotiate GPU volume pricing as scale increases.
Model sensitivity	Enterprise NRR (115%) and lead growth (5.5%/mo) are dominant levers. ±20% on NRR = €27.9 M ARR swing. EBITDA margin of 68.6% by FY2030 exceeds SaaS benchmarks (30–40%).	Monthly model recalibration vs. actuals. Conservative base case for investor communications. Cap LTV assumptions at realistic ceilings (LTV/CAC reaches 32.6× in model — needs refinement).

[1] Pre-money based on ~60× FY2026E ARR (€447 K), in line with European AI/SaaS pre-seed comps (median 40–80× for companies with pilot revenue and >80% gross margins; cf. Dealroom 2025 data).